

# FOREIGN EXCHANGE FACILITIES

The foreign exchange facilities granted to companies holding CFC status, compared to the standard regime, are summarized in the table below:

| Scope                                                                                                                                                                                                                                                                                                                                                                                      | Standard regime                                                                            | CFC Regime                                                                                                                                                                    |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>Exemption from prior authorization for transfers between subsidiaries and parent companies of remuneration due under technical assistance and the following services:</p> <p>Management fees, R&amp;D expenses, head office charges, royalties, secondment of staff, shared services between subsidiaries and parent companies (IT services, HR, accounting/finance, and training).</p> | ✗                                                                                          | ✓                                                                                                                                                                             |
| Exemption from declaration formalities for technical assistance operations and various services with the Foreign Exchange Office.                                                                                                                                                                                                                                                          | ✗                                                                                          | ✓                                                                                                                                                                             |
| Exemption from the requirement to domicile technical assistance contracts and various services with an authorized intermediary.                                                                                                                                                                                                                                                            | ✗                                                                                          | ✓                                                                                                                                                                             |
| Supporting documents required for the payment of remuneration due under technical assistance operations and other services (described above).                                                                                                                                                                                                                                              | Several documents required (contract, invoice, certificate of completion of services)      | One single document of choice (agreement, contract, invoice, etc.)                                                                                                            |
| Choice of authorized intermediary to carry out remuneration transfers.                                                                                                                                                                                                                                                                                                                     | ✗<br>Several documents required (contract, invoice, certificate of completion of services) | ✓<br>Choice possible for each transfer                                                                                                                                        |
| Freedom to open foreign currency or convertible dirham accounts.                                                                                                                                                                                                                                                                                                                           | ✗<br>Authorization granted only to foreign or exporting companies                          | ✓<br>Any CFC company                                                                                                                                                          |
| Freedom to manage foreign currency assets of foreign origin (including export proceeds).                                                                                                                                                                                                                                                                                                   | ✗<br>Foreign companies only                                                                | ✓<br>Any CFC company                                                                                                                                                          |
| <p>Exemption from the following two conditions relating to overseas investment by legal entities resident in Morocco :</p> <ul style="list-style-type: none"> <li>• Having a minimum of 3 years of activity;</li> <li>• The investment to be made abroad must be directly related to the activity of the legal entity.</li> </ul>                                                          | ✗                                                                                          | ✓<br>Any CFC financial company                                                                                                                                                |
| Relaxation of the condition relating to annual caps of MAD 100 million and MAD 50 million for investment operations in Africa and other continents.                                                                                                                                                                                                                                        | ✗                                                                                          | ✓<br>These caps do not apply to the portion of capital subscribed in foreign currency by non-residents or foreign residents in the share capital of the CFC financial company |

\*The documents supporting transactions eligible for the foreign exchange facilities described above, granted to entities holding “CFC” status, must be retained by the relevant entities in accordance with the document retention requirements provided for under the Commercial Code and made available to the Foreign Exchange Office for any subsequent audit.

Entities holding CFC status must submit to the Foreign Exchange Office, in accordance with the applicable legislation, for the purpose of ex-post control and no later than three months after the closing of each financial year, reports prepared in accordance with the templates attached as annexes to the Foreign Exchange Office circular relating to foreign exchange facilities granted to entities benefiting from “CFC Status,” available on the CFC website.

### How to benefit from these facilities?

To carry out a foreign currency transfer under a technical assistance contract or any of the services described above with its parent company, a company holding CFC status must contact the authorized intermediary (banking counter) of its choice, providing a copy of its "CFC Status" issued by the CFC Commission, along with supporting documentation for the transfer clearly indicating the nature, scope, and amount of the service to be paid (service contract, agreement, final invoice, pro forma invoice, debit note).

For the opening of foreign currency accounts or convertible dirham accounts, the CFC company may contact the authorized intermediary of its choice by providing a copy of its "CFC Status."

In the event of any difficulty, the company is invited to contact the Support Services Department within CFCA, which will immediately liaise with the relevant authorities to find a solution.